Grandview Early Learning
Transaction services and accounting

Monthly Management Accounts February 2026

Year-to-date results against budget for the eight months ended 28 February 2026

Prepared for the Board of Grandview Early Learning Pty Ltd
Reporting period: eight months ended 28 February 2026
Version 1.0, unaudited management accounts
13 March 2026
Reference: GEL-MA-2026-02
Date: 13 March 2026

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1. Document details

Entity	Grandview Early Learning Pty Ltd
ABN	80 855 681 517
Registered office	Level 7, 215 Adelaide Street, Brisbane QLD 4000
Reporting period	Eight months ended 28 February 2026 (financial year ending 30 June 2026)
Date of pack	13 March 2026
Prepared by	Group Finance, Grandview Early Learning
Prepared for	Board of Directors: Daniel Okonkwo-Reid (Chair), Fiona Marchetti (Managing Director and CEO), Priya Raghunathan
Shareholders	Bellwood Equity Partners Fund II (72%), founders (28%)
Status	Unaudited management accounts, existing estate of 26 centres

Table 1: Pack details

2. Summary

The existing estate of 26 long day care centres has traded ahead of budget for the eight months to 28 February 2026. Revenue was A$32.9M against a budget of A$32.3M, and EBITDA after rent was A$6.3M against a budget of A$6.0M. The favourable result is driven by occupancy of 81.5% against a budget of 80.5% and higher Child Care Subsidy (CCS) receipts, partly offset by centre wages running A$0.4M over budget.

- Revenue is A$0.6M (1.9%) above budget and EBITDA is A$0.3M (5.0%) above budget.
- Net profit after tax was A$3.1M against a budget of A$2.9M.
- Net debt on the existing bilateral facility fell to A$11.0M from A$12.8M at 30 June 2025, or 1.2 times LTM EBITDA of A$9.3M.
- Management expects full-year EBITDA after rent of about A$9.5M against a budget of A$9.0M.
- The conditional acquisition of 12 centres remains subject to financing and regulatory transfer approvals. No acquisition results are included in this pack.

3. Basis of preparation

These accounts are prepared on a management basis from the general ledger and centre-level reporting systems. Rent is expensed as incurred, so EBITDA is stated after rent and is not adjusted for the lease accounting treatment in the statutory accounts. Figures are unaudited. The statutory accounts are audited by Kestrel Ridge Assurance. Amounts are in Australian dollars, rounded to one decimal place of a million, so totals may differ from the sum of components by A$0.1M.

Transaction costs incurred on the acquisition to 28 February 2026 were A$0.3M. They are excluded from the operating result below and will be recognised as a significant item. They form part of the A$2.0M transaction cost allowance in the funding plan.

4. Financial performance against budget

A$M	Actual	Budget	Variance	Var %
Parent fees	9.6	9.5	+0.1	1.1%
Child Care Subsidy	22.4	21.9	+0.5	2.3%
Other income	0.9	0.9	0.0	0.0%
Total revenue	32.9	32.3	+0.6	1.9%
Centre wages and on-costs	18.2	17.8	(0.4)	(2.2%)
Food and consumables	1.5	1.5	0.0	0.0%
Rent and outgoings	3.4	3.4	0.0	0.0%
Other centre costs	1.8	1.9	+0.1	5.3%
Centre contribution	8.0	7.7	+0.3	3.9%
Support office costs	1.7	1.7	0.0	0.0%
EBITDA after rent	6.3	6.0	+0.3	5.0%
Depreciation and amortisation	1.2	1.2	0.0	0.0%
EBIT	5.1	4.8	+0.3	6.3%
Net interest	0.7	0.7	0.0	0.0%
Profit before tax	4.4	4.1	+0.3	7.3%
Income tax expense	1.3	1.2	(0.1)	(8.3%)
Net profit after tax	**3.1**	**2.9**	**+0.2**	**6.9%**

Table 2: Year-to-date income statement, eight months to 28 February 2026 (favourable variances positive)

4.1 Revenue

CCS receipts were A$0.5M above budget, reflecting higher attendance and the stronger occupancy outcome across the Queensland centres. Parent fees were A$0.1M above budget. The fee increases applied in January 2026 were in line with the budget assumption and no centre was held back from the increase.

4.2 Costs

Centre wages and on-costs were A$0.4M (2.2%) over budget, a faster rate than revenue growth of 1.9%. Wages were 55.3% of revenue against a budget of 55.1%. The main causes were casual and agency cover for educator absence in the June to August winter period and the annual award increase from 1 July 2025 landing slightly above the budget allowance. Other centre costs were A$0.1M favourable following lower repairs and maintenance spend, some of which is expected to be incurred in the final four months.

4.3 Monthly EBITDA trend

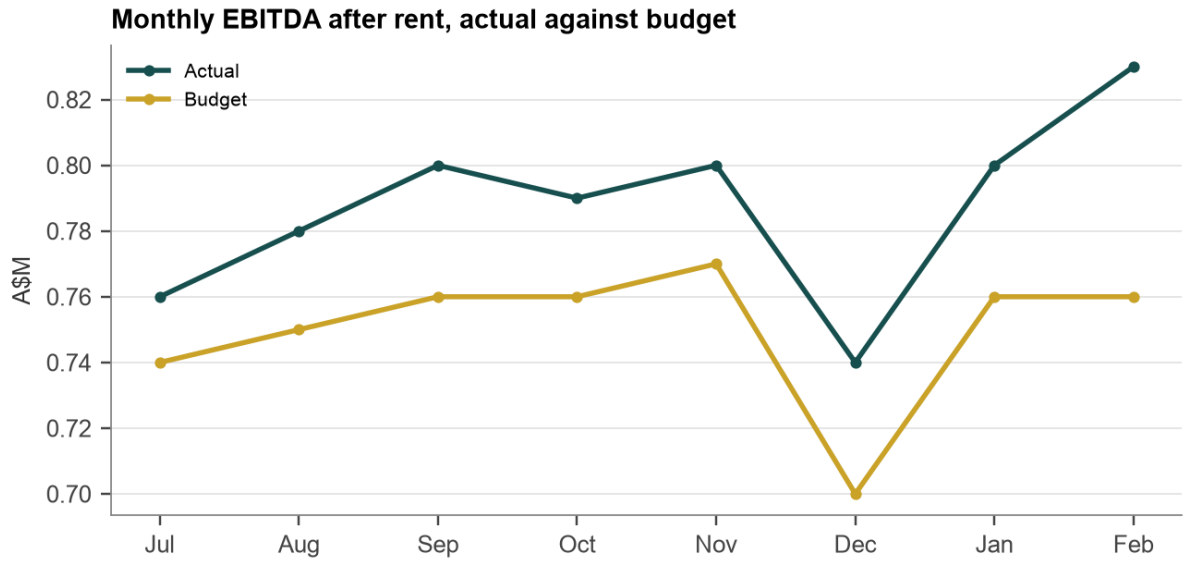


Figure 1: Monthly EBITDA after rent, July 2025 to February 2026. Actual totals A$6.3M and budget A$6.0M.

Actual EBITDA has exceeded budget in every month. December is seasonally lower because of the centre closure period and reduced attendance. February was the strongest month at A$0.83M.

5. Operating metrics

Metric	Actual	Budget
Centres operating	26	26
Licensed places	2,150	2,150
Average occupancy	81.5%	80.5%
EBITDA margin	19.1%	18.6%
Wages to revenue	55.3%	55.1%
Centres rated Meeting or Exceeding	22 of 26	22 of 26

Table 3: Key operating metrics, existing estate

Occupancy is 82.0% across the 17 Queensland centres and 80.6% across the nine New South Wales centres. Four centres are rated Working Towards the National Quality Standard. Each has a quality improvement plan in place and management reports to the Board on progress at each meeting.

6. Balance sheet, cash flow and net debt

A$M	30 Jun 2025	28 Feb 2026
Bilateral facility drawn	15.6	14.6
Cash at bank	2.8	3.6
Net debt	**12.8**	**11.0**

Table 4: Net debt, existing bilateral facility

A$M	YTD actual
EBITDA after rent	6.3
Working capital movement	(0.2)
Income tax paid	(1.0)
Capital expenditure	(1.4)
Net interest paid	(0.7)
Free cash flow after interest	3.0
Distributions to shareholders	(1.2)
Bilateral facility repayment	(1.0)
Net increase in cash	**0.8**

Table 5: Year-to-date cash flow summary

Capital expenditure of A$1.4M comprised A$0.6M of maintenance and A$0.8M of refurbishment and equipment. Cash conversion, measured as EBITDA less capital expenditure and working capital over EBITDA, was 79%. Management confirms compliance with all covenants under the bilateral facility at 28 February 2026.

7. Acquisition update

On 13 January 2026 the group entered a conditional sale agreement to acquire 12 long day care centres (five in Queensland and seven in New South Wales) from a private multi-site operator. The purchase price is A$60.5M. Harcourt Pryor Valuations Pty Ltd valued the acquired portfolio at A$62.0M in its report dated 6 March 2026. The quantity surveyor report from Tanner & Voss Quantity Surveyors Pty Ltd is expected on 20 March 2026 and indicative terms for the proposed A$44.0M senior secured acquisition term facility are expected on 2 April 2026. Lindqvist Corporate Advisory Pty Ltd is advising on the financing and Merrion Hale Lawyers is acting as legal counsel.

Funding plan	A$M
Purchase price	60.5
Transaction costs	2.0
Total uses	62.5
Senior secured term facility	44.0
Sponsor equity	18.5
Total sources	62.5

Table 6: Sources and uses of funds

Pro forma LTM	Revenue A$M	EBITDA A$M	Margin
Existing 26 centres	48.8	9.3	19.1%
Acquired 12 centres	23.2	4.9	21.1%
Pro forma group	**72.0**	**14.2**	**19.7%**

Table 7: Pro forma last twelve months, post rent

Acquired centre figures are vendor-reported and have not been verified in these accounts. The higher margin partly reflects the four freehold centres, which carry no rent. On the proposed structure, pro forma net debt is A$55.0M (the existing A$11.0M plus the A$44.0M facility), or 3.9 times pro forma EBITDA. Pro forma interest cover is 2.6 times, and the loan to value ratio against the A$62.0M valuation is 71%.

Segment	Centres	Places	Occupancy
Existing Queensland	17	1,420	82.0%
Existing New South Wales	9	730	80.6%
Existing estate	26	2,150	81.5%
Acquired centres	12	970	73.5%
Pro forma group	**38**	**3,120**	**79.0%**

Table 8: Centres, licensed places and occupancy

The pro forma portfolio would comprise 22 centres in Queensland and 16 in New South Wales. Of the 38 centres, 31 are rated Meeting or Exceeding. The acquisition plan assumes occupancy at the acquired centres lifts from 73.5% to about 80% within 18 months through rebranding, rostering changes and enrolment campaigns.

8. Outlook and matters for the Board

- Full-year outlook: management forecasts EBITDA after rent of about A$9.5M against a budget of A$9.0M, assuming occupancy holds at or above 81% and wages to revenue stays near 55%.
- Labour: wage over-runs should be addressed through reduced agency use and a review of rostering against enrolment patterns before the autumn intake.
- Occupancy: the acquired centres sit 8.0 percentage points below the existing estate. The recovery plan is the key driver of post-acquisition covenant headroom.
- Regulatory: earnings depend on CCS settings, fee cap policy and National Quality Framework outcomes. No adverse change has been notified in the period.
- Integration: licence transfers, systems migration and retention of centre directors across 12 additional sites are the main execution risks. A transition plan will be tabled once financing terms are settled.
- Leases: most centres are leased. Lease expiries and renewal options for the largest centres will be reviewed at the next Board meeting.

9. Approval

These management accounts have been reviewed by Group Finance and are submitted to the Board for noting. They have not been audited or reviewed by Kestrel Ridge Assurance.

Prepared by	Group Finance, Grandview Early Learning
Reviewed by	Fiona Marchetti, Managing Director and Chief Executive Officer
Date	13 March 2026